



HINDUSTAN COPPER LIMITED CHAIRMAN'S SPEECH

54th Annual General Meeting
22nd September, 2021, Kolkata



HINDUSTAN COPPER LIMITED

Dear Shareholders,

Good morning and a very warm welcome to all of you to the 54th Annual General Meeting of Hindustan Copper Ltd. This is the second consecutive Annual General Meeting of the Company being held virtually to abide by the social distancing norms and in line with the guidelines issued by SEBI and MCA. As the Company Secretary has confirmed that the requisite Quorum is present, I call the meeting to order.

Post first wave of Pandemic, the economy is now gradually emerging from the gloom due to the policy and structural reforms, capex push, rapid progress in vaccination and other measures taken by the Government of India. It is expected that revival of the economy will continue at a faster pace in the coming quarters. India reported its best ever quarterly growth of 20.1 per cent in the first quarter of FY 2021-22. Mining is among the most important sectors to contribute in achieving India's target of becoming a USD 5 trillion economy by 2025. The Government envisions increasing contribution of Mining Sector from 1.75% of GDP currently to 2.5% of GDP, with an aim to increase the mineral production output by 200% in the coming decade.

Annual Report of the Company for FY 2020-21 containing the 54th AGM Notice, Directors' Report, Audited Financial Statements for the year ending 31st March, 2021 has been circulated to you.

I am sure that you have gone through the same and acquainted yourself with the performance of the Company. With your kind permission, I take the Annual Report 2020-21 as read.

Now, I would like to discuss about the developments in the Indian economy and Copper sector that has bearing on the metal and mining sector at large. I also take this opportunity to share the Company's performance in the fiscal year 2020-21.

THE COPPER INDUSTRY

Due to its inherent properties, Copper is extensively used in the Electrical and Telecommunication Industry with 56% of the total consumption worldwide; Transport, Building & Construction, General Engineering Goods, Process Industries, etc. are the other major users. Global usage of refined copper has enhanced threefold in the last fifty years.





Importance of copper has enhanced as a green metal as it plays a critical role in the world's gradual transition to green energy and zero-carbon emission goals to control climate change, one of the greatest challenges of the recent times. Leading economies are aiming towards more and more adaptation of Electric Vehicles (EV), renewable energy like solar, wind etc. and demand of copper is expected to soar due to its significant role in energy storage and transmission. Pandemic has reaffirmed usage of copper in the health care sector also due to its antimicrobial properties.

Market research reports show a continual and promising growth path for copper in the coming decades with sharply increasing consumption due to their enormous applications in industry, relative scarcity and low resource base similar to the geological characteristics of the other Base metals.

MARKET TRENDS

Copper is showing sharp growth trend in demand as well as prices since the middle of the year 2020; climbed to the highest in almost a decade i.e. US\$ 10724.5 per tonne at the London Metal exchange (LME) in May 2021, an almost 10-year high. Though the LME price has corrected in recent months amid concerns about slowing growth in China and around the world in the wake of rising COVID-19 infections, but still trading above US\$9000 per tonne. While copper price is volatile, a sharp growth trend has been predicted by analysts and market researchers.

GLOBAL BUSINESS SCENARIO

The COVID-19 related global lockdown has had a notable negative impact on the copper industry worldwide. However, with the adaptation of stricter health protocols and progress in vaccination drives all over the world copper mine production increased by 4.8% in first five months of 2021, with concentrate production increasing by around 6.5%, and solvent extraction-electrowinning (SX-EW) declining by about 2%, as reported by International Copper Study Group (ICSG). During the first five months of 2021,

primary production (electrolytic and electrowinning) is up by 4.3% and secondary production (from scrap) up by 2%. Preliminary data indicates that world apparent refined copper usage has increased by 4.5% in first five months of 2021.

As predicted by ICSG, World copper mine production is expected to increase by about 3.7% from 21.32 million tonnes in CY 2021 to 22.10 million tonnes in CY 2022.

INDIAN COPPER SCENARIO

India has only about 0.31 % of world copper reserves. Mining production is just 0.2% of world's production while refined copper production capacity is about 4% of world's production. The size of Indian Copper Industry (consumption of refined copper per annum) is around 6.6 lakh tonnes, which is only 3% of world copper market.

Copper consumption in India is expected to grow sharply with the thrust of Government towards 'Make in India', 'Smart City' programs, focus on fast developments in infrastructure sectors, defense, thrust on renewable energy and electric vehicles (EV) as well as to ensure raw material security and self-reliance under the AatmaNirbhar Bharat initiatives.

PHYSICAL PERFORMANCE



The ore production during FY 2020-21 was 17.51% less compared to last year primarily due to lockdown and maintaining social distancing norms as per COVID-19 protocol, suspension of production at



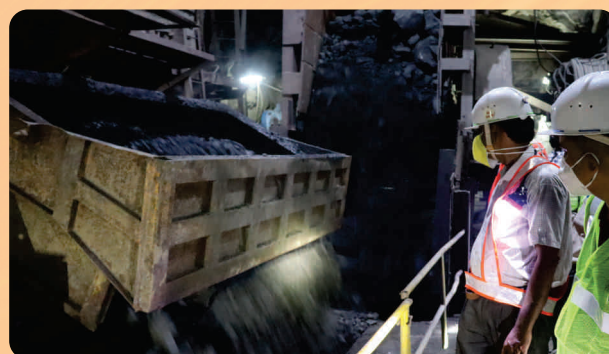
Surda Mine, Ghatsila in Jharkhand due to non-renewal of mining lease, low grade of ore and water shortage at Khetri Copper Complex in Rajasthan and low grade of ore in the open pit mine at Malanjkhand Copper Project in Madhya Pradesh. Malanjkhand mine has reached its ultimate depth and is in a transition phase from open pit to underground mining.



The Company is taking requisite action to augment production from mines as well as to enhance mining capacity through ongoing expansion projects. During 2020-21, the Company has signed long term agreement with one of Indian conglomerates for sale of around 60% of its copper concentrate to boost the 'AtmaNirbhar Bharat Abhiyan' of the Government of India.

FINANCIAL PERFORMANCE

During 2020-21, the sales volume was 32,997 tonnes as against 18,408 tonnes in 2019-20 registering an increase of 79.25%. The turnover of the Company during the year was Rs. 1760.84 crore as against Rs 803.17 crore in previous financial year registering an increase of 119%. The Profit After Tax during FY 2020-21 was Rs 109.98 crore as against loss of Rs. 569.35 in FY 2019-20. Improvement in financial performance during the year was mainly due to sale of unsold stock of Metal in concentrate of around 9500 tonnes coupled with rise in LME Price of Copper, higher Exchange Rate and decrease in operating expenditure.



In the month of April, 2021, around Rs.500 crore was raised by Company through issue and allotment of 4,18,06,020 equity shares of Rs.5/- each at an issue price of Rs.119.60 per equity share to the qualified institutional buyers. The funds so raised are being utilized towards the Capex/ expansion projects of the Company.

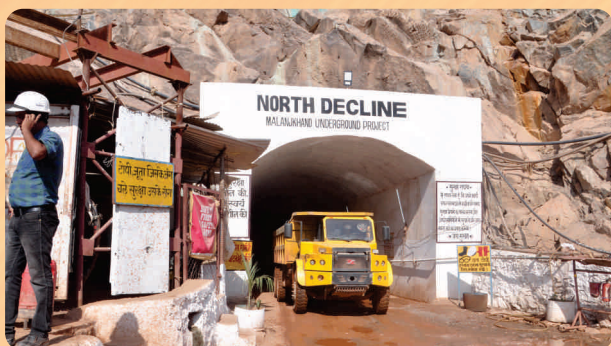


DIVIDEND

The Board of Directors of your Company has recommended payment of dividend equivalent to 7% on paid-up capital of the Company i.e. Re 0.35 per share on Rs 5/- face value for the year 2020-21 for your approval in the Annual General Meeting. The outgo on this account will be Rs 33.85 crore.

EXPANSION PROJECTS

Your Company has envisaged to increase mine production capacity from existing around 3.4 MTPA to 12.2 MTPA in first phase which will be scaled up to 20.2 MTPA in second phase in order to boost domestic production of copper and thus reduce dependence on imports.



Development of underground mine at Malanjkhand below the existing open pit mine have achieved two milestones by interconnecting north and south mines at 240 and 296 mRL. Actions have been taken to compensate the delays in execution of construction of 5 MTPA underground mines. The project will augment the ore production capacity from 2.0 to 5.0 million tonnes per annum.

Alternate Plan has been chalked out to enhance the production from Khetri mine through decline development, where deepening of shaft was halted due to bad ground condition.



Provision of resumption of the shaft sinking is being explored parallaly. Production of Banwas block is in ramp up stage.

Surda Mining Lease extension is expected soon and its operation and expansion work will resume subsequently. Reopening of Rakha and development of greenfield Chapri mine work through MDO route is expected to start by the end of the Financial Year. Development work at Kendadih has been completed and contract for ore production has already been awarded.

CORPORATE GOVERNANCE

Your Company is committed to comply with the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the guidelines issued by the Department of Public Enterprises, Government of India relating to the Corporate Governance.

Your Company has requested the Ministry of Mines to fill up the vacant posts of Directors as per applicable guidelines. This is under consideration of the Government.



Your Company has achieved "Excellent" grade for compliance of Corporate Governance for FY 2019-20.

CSR / CONCERN FOR COMMUNITY

Your Company has taken up several projects like promoting preventive health care, making available safe drinking water facility, promoting education, enhancing vocational skills, livelihood opportunities and promoting environmental sustainability as a part of CSR initiative.

Your Company has combated the COVID 19 outbreak by enhancing public awareness, ensuring COVID appropriate behaviour, undertaking regular

sanitization program, improving healthcare facilities, abiding by COVID Test / Quarantine norms and participating enthusiastically in vaccination drives.

Hospitals at HCL Units were equipped with multi-bedded COVID Centers with oxygen support and medicines. MCP Unit provided 10 Oxygen Concentrators, mask, PPE kit etc. to the COVID Centre at Kendatola to help the State Administration. KCC Unit donated oxygen-filled cylinders with flow meter, tubes and masks along with pulse oximeters to the Block Chief Medical Officer of the State Govt.

Your Company has spent Rs 86.31 Lakhs for imparting apprenticeship training to 168 persons in FY 2020-21. In KCC Skill Development Institute, established by upgrading the existing Training Center, a batch of 28 trainees have completed their practical training as 'Winding Engine Driver'.





INDUSTRIAL RELATIONS

The Industrial Relations throughout the year remained peaceful and harmonious across the Company. The Trade Unions and Officer's Association extended their full-support and commitment to the Management on important issues.

ACKNOWLEDGEMENT

Before I conclude, on behalf of the Board of Directors, I convey my deep gratitude to the Shareholders for their continued support and trust. It will certainly be our endeavor to put in our best efforts for sustained growth, expansion and prosperity of the Company benefitting all stakeholders.

I take this opportunity to thank the Ministry of Mines for their unstinted support and valuable guidance. I also acknowledge the support extended by the State Governments and all other authorities and regulatory agencies.

I would like to thank my colleagues on the Board for their valuable guidance and contribution in steering the Company to higher levels of achievement.

On behalf of the Board, I also take the opportunity to acknowledge the efforts, commitment and constructive cooperation of all the employees, Trade Unions, stakeholders in the operations of the Company.

I thank you all once again and offer my best wishes for a very joyous festive season ahead. Please stay safe and take very good care of yourselves and your family.

Thank you.

Kolkata
22nd September, 2021

Arun Kumar Shukla
Chairman and Managing Director

[This does not purport to be a record of the proceedings of the Annual General Meeting]

